

LaborCoin Technical Whitepaper v3.0 Candidate

Revision 7 equal-holder architecture

LaborCoin

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Disclaimer

LaborCoin is experimental public infrastructure. This paper describes a source candidate, intended deployment procedure, and fixed economic and governance rules. It does not promise financial returns, price stability, liquidity, uninterrupted availability, legal treatment, tax treatment, successful labor outcomes, identity-provider availability, or freedom from smart-contract, network, governance, interface, key-management, and operational risk.

Revision 7 has not yet been compiled under the frozen profile, completed every unit, fuzz, invariant, fork, integration, and independent-review requirement, or been deployed. All replacement addresses and runtime commitments are pending. Nothing in this paper is legal, investment, tax, or financial advice.

1. Executive Summary

LaborCoin is designed as public infrastructure for accumulating native POL and allocating it through constrained democratic governance to worker-support recipients. The protocol attempts to combine transparent economic rules, equal-member governance, equal-per-holder dividends, narrow treasury authority, and minimal post-launch contract control.

The permanent dividend principle is central:

Every verified participant holding at least 1 LABR receives exactly one equal dividend share. Holding more LABR does not increase that participant's dividend weight.

This distinguishes LaborCoin from common token systems that convert wealth into greater income and governance power. A wallet holding 1 LABR, a wallet holding 100 LABR, and a wallet holding 10,000 LABR each have one dividend unit when verified and eligible. LABR quantity affects the amount a participant can sell and the economic exposure they hold, but it does not multiply their dividend share or governance vote.

Revision 7 uses a shared permanent Identity Registry. A direct Polygon wallet obtains a Human Passport score through a fixed scorer. When the score is at least 15,000, a fixed verifier may issue an EIP-712 authorization valid for no more than one hour. The wallet submits that authorization on-chain once. Successful verification is permanent and reused for official Exchange access, equal-holder dividend eligibility, dividend claims, and optional governance registration.

The score gate is intended to reduce simple Sybil behavior and make every additional eligible wallet independently satisfy the same published scorer. It is not presented as a mathematical proof that one natural person controls only one wallet. Accessibility is prioritized by retaining a threshold of 15 rather than imposing government-ID, biometric, or higher-score requirements.

The candidate consists of seven custom contracts:

1. **LaborCoin Identity Registry V1.0.0**, which records one-time score-15 verification.
2. **LABR V3.0.0**, which fixes token supply, transfer restrictions, launch finalization, and equal-holder dividend accounting.
3. **LaborCoin Exchange V6.0.0**, which provides identity-gated exact-token buying and selling through a direct-POL integral bonding curve.
4. **LaborVote V9.0.0**, which provides one permanent nontransferable LABRV membership unit per registrant.
5. **LaborCoin Registration V6.0.0**, which reuses the shared identity status and mints membership after a 1 LABR threshold.
6. **Proposal Text Policy V1.0.1**, which applies fixed proposal-description rules.

7. **LaborCoin Governance V15.0.0**, which provides one-member-one-vote native-POL treasury allocation through the existing Aragon DAO.

The existing Aragon DAO remains the treasury custodian. Governance does not custody funds. A successful proposal can request exactly one native-POL transfer from the DAO to the approved recipient. Governance cannot change tokenomics, mint LABR, alter thresholds, pause trading, execute arbitrary calldata, upgrade contracts, or recover recipient funds.

Revision 7 is a replacement source candidate. The historical V4/V7/V13 deployment and the superseded Revision 6 candidate remain preserved for transparency. Neither is represented as the final replacement system.

2. Problem, Scope, and Non-Objectives

2.1 Worker-support infrastructure

Workers participating in strikes, lockouts, organizing campaigns, mutual aid, or other labor actions can face immediate financial pressure. Income may stop while rent, food, transportation, health, childcare, legal, and communication costs continue. Existing support systems often rely on temporary fundraisers, private organizational accounts, payment processors, and informal distribution decisions. Those systems can be effective, but participants may have limited ability to inspect balances, fixed contribution rules, allocation thresholds, and completed transfers.

LaborCoin addresses a narrow infrastructure question: can a transparent pool of native assets be accumulated under publicly fixed economic rules and allocated through a constrained one-member-one-vote process without allowing token wealth to determine voting or dividend weight?

The protocol is not a replacement for unions, worker centers, strike committees, legal representation, collective bargaining, or human organizing. It is an economic and governance tool whose usefulness depends on social participation, recipient diligence, and real-world coordination.

2.2 Design objectives

The system seeks to provide:

- a fixed and inspectable LABR supply;
- an official Exchange with deterministic POL-denominated pricing;
- permanent wallet, transaction, and cooldown limits;
- a meaningful but accessible anti-Sybil gate;
- one equal dividend unit per verified eligible holder;
- one governance membership and one vote per registered participant;
- transparent DAO custody;
- narrow native-POL execution;
- exact runtime-code commitments between dependent contracts;
- no post-launch custom-contract owner, pause, upgrade, or economic setter;
- public source, compilation, deployment, and permission records.

2.3 Non-objectives

LaborCoin does not attempt to:

- guarantee strike success, employment protection, or recipient conduct;
- guarantee a LABR market price or fiat value;
- provide a stablecoin or price peg;
- eliminate all Sybil behavior;
- store legal identities on-chain;
- support anonymous governance;

- provide broad DeFi composability;
- support contract wallets, relays, or account abstraction in the candidate design;
- permit governance to rewrite protocol economics;
- create an upgrade path or emergency administrator;
- guarantee that Polygon, Human Passport, RPC providers, website hosting, or the verifier remain available;
- replace legal, tax, security, or organizational advice.

2.4 Why economic equality requires explicit code

A token system can describe egalitarian goals while implementing wealth-weighted mechanics. Revision 7 therefore states the equality rule in contract accounting rather than relying on interface language. Dividend weight is a binary unit, not the LABR balance. Governance weight is one non-transferable LABRV, not the LABR balance. More tokens do not create more votes and do not create a larger holder-dividend percentage.

This does not make all economic outcomes equal. Participants can still hold different LABR quantities, experience different price exposure, and sell different amounts. The design specifically prevents token quantity from multiplying dividend and governance weight.

3. Design Principles

3.1 One verified holder, one dividend share

A verified wallet with at least 1 LABR receives one equal share of each holder-dividend deposit made while eligible. A verified wallet with 10,000 LABR receives the same share as a verified wallet with 1 LABR. An unverified wallet receives no share.

3.2 One registered participant, one vote

Registration mints exactly one LABRV. LABRV cannot be transferred, delegated, burned, approved, or multiplied for the same wallet. Governance checks both the LABRV balance and the matching Registration record.

3.3 Economic participation and governance remain distinct

Identity verification is required for official economic participation, but governance registration remains an additional optional action. A verified participant may buy, hold, receive equal dividends, claim, and sell without registering for governance. Registration requires at least 1 LABR and creates permanent membership.

3.4 Contract enforcement over interface promises

The website is not the security boundary. Identity, wallet, transaction, cooldown, dividend, and governance rules are enforced on-chain. A participant who calls contracts directly remains subject to the same rules.

3.5 Narrow authority over recoverability

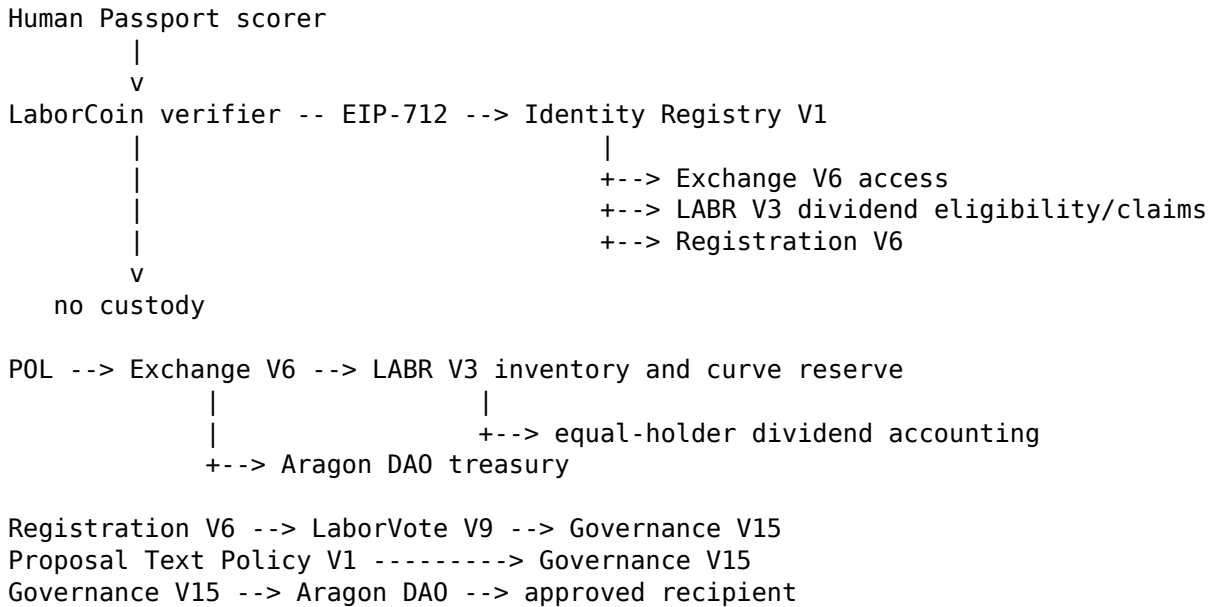
Revision 7 favors immutable, narrow behavior over administrative recovery. This reduces unilateral control but means mistakes can be permanent. The launch process and testing burden are therefore unusually important.

3.6 Transparent limitations

The protocol does not claim one natural person per wallet. Human Passport scoring and credential deduplication raise costs and friction for simple duplicate participation, but coordinated or independently credentialed wallets may still pass. Equal-per-wallet dividends make this residual risk important and it is disclosed directly.

4. System Architecture and Trust Boundaries

4.1 Component flow



4.2 Economic layer

LABR and Exchange implement supply, official inventory, reserve accounting, direct transfers, official buys and sells, cooldown, wallet and transaction limits, fixed DAO contributions, and equal-holder dividend deposits and claims.

4.3 Identity layer

Human Passport supplies a score under a fixed scorer. The verifier signs a narrow authorization. Identity Registry verifies the authorization on-chain and stores permanent status. The verifier never custodies user tokens and cannot trade or vote on behalf of a participant.

4.4 Membership layer

Registration requires verified status and at least 1 LABR. LaborVote mints one permanent nontransferable membership unit. Identity verification alone does not create governance rights.

4.5 Governance layer

Governance uses the Registration and LABRV state, a fixed proposal-text policy, fixed thresholds, and the existing Aragon DAO's execute permission. It can execute only one native-POL transfer with empty calldata.

4.6 External infrastructure

Polygon consensus, Human Passport, the verifier service, RPC providers, domain registration, Netlify hosting, browser dependencies, and Aragon DAO permissions are external trust and availability surfaces. Immutable custom contracts do not make those services immutable.

4.7 Component registry

Component	Candidate Address		Primary authority after launch
Identity Registry	V1.0.0	DEPLOYMENT_PENDING	None
LABR	V3.0.0	DEPLOYMENT_PENDING	None
Exchange	V6.0.0	DEPLOYMENT_PENDING	None
LaborVote	V9.0.0	DEPLOYMENT_PENDING	Registration only may mint
Registration	V6.0.0	DEPLOYMENT_PENDING	None
Text Policy	V1.0.1	DEPLOYMENT_PENDING	None
Governance	V15.0.0	DEPLOYMENT_PENDING	Aragon execute permission only
Aragon DAO	Existing	0x0C2e5679153593b82a84eAB5CA90895BB291Cec4	DAO permission registry

5. Identity Registry V1

5.1 Purpose

Identity Registry provides a single permanent identity status used by all economic and membership components. Earlier architectures could place verification only in the frontend or duplicate authorization logic across contracts. Frontend-only gating can be bypassed by direct calls. Duplicate contract gates increase code and configuration risk. Revision 7 therefore centralizes verification in one immutable registry.

5.2 Score rule

Scores are represented in thousandths:

15.000 score = 15,000 contract units

The fixed minimum is 15,000. There is no threshold setter. The registry accepts scores above the minimum but does not grant greater rights for a higher score.

5.3 Authorization domain

The EIP-712 domain is intended to be:

```
name: LaborCoin Identity
version: 1
chainId: 137
verifyingContract: exact Identity Registry address
```

The signed struct binds:

```
Identity(
  participant,
  passportScore,
  scorerIdHash,
  nonce,
  expiry
)
```

The scorer ID itself is not stored as plaintext in the authorization. Its Keccak-256 hash is fixed in the registry. The verifier must compute the same hash from its environment configuration.

5.4 Replay protection

Each participant begins with nonce zero. Successful verification consumes the current nonce and stores verified status. The wallet cannot verify twice. A signature for another wallet, nonce, chain, scorer, Registry address, score, or expiry produces a different digest and fails.

5.5 Expiry and chain time

The authorization must not be expired and may not extend more than one hour beyond current chain time. The verifier should derive expiry from the latest Polygon block rather than server wall-clock time to reduce clock-skew failure.

5.6 Direct-wallet requirement

The participant must call Registry directly from an address with no code and `msg.sender == tx.origin`. This excludes smart-contract wallets, multisignatures, account-abstraction accounts, and relays. The restriction is intentionally broad and should be tested against future Polygon behavior before launch.

5.7 Launch binding

Identity Registry is deployed with the expected LABR runtime hash and a temporary launch owner. The owner may call `finalizeLaborCoin` exactly once. The Registry verifies the LABR runtime and confirms that LABR points back to the same Registry and Registry runtime hash. It stores LABR and sets owner to zero.

Verification remains disabled until LABR has also finalized the exact Exchange. This prevents participants from entering an incomplete system.

5.8 Atomic dividend synchronization

A wallet may receive LABR before it verifies through a direct transfer. When verification succeeds, Registry calls LABR's eligibility synchronization in the same transaction. A wallet already holding at least 1 LABR enters the equal-holder set immediately without a second manual transaction.

5.9 Permanence and compromise

There is no revocation. If the verifier key signs an unauthorized wallet, that status is permanent. If Human Passport later reduces the wallet's score, status remains. This limits ongoing external dependence but makes prelaunch key security and scorer validation critical.

5.10 Accessibility and Sybil tradeoff

A threshold of 15 is selected because people creating a new wallet may have limited on-chain history and may not reach higher default thresholds. The scorer's credential deduplication makes reused qualifying credentials less effective across multiple wallets. Nevertheless, independent credential sets, coordinated persons, or changes in provider behavior can still permit multiple wallets. The protocol describes the gate as Sybil resistance, not proof of unique humanity.

5.11 Verification lifecycle and failure behavior

The complete verification lifecycle is deliberately separated into an off-chain evaluation and an on-chain permanent record:

1. The participant connects the exact direct wallet that will hold verified status.
2. The frontend asks the verifier service for an authorization for that address.

3. The verifier reads the fixed Human Passport scorer and converts the returned score to thousands by flooring additional precision.
4. The verifier rejects scores below 15,000.
5. The verifier reads the Registry nonce, scorer hash, and current Polygon block timestamp.
6. The verifier signs an authorization valid for no more than one hour.
7. The participant sends the authorization to Identity Registry from the same wallet.
8. The Registry recomputes the digest, validates the fixed verifier signature, consumes the nonce, records permanent status, and synchronizes dividend eligibility in LABR.

The verifier cannot directly mark a wallet verified. It can only issue a signature that the exact participant must submit. A signature obtained for one participant cannot be redirected to another participant because the wallet address is part of the signed struct and `msg.sender` is the participant checked by Registry.

Failure behavior is intentionally fail-closed:

Condition	Result
Score below 15,000	No authorization is issued
Wrong scorer configured	Verifier refuses startup
Wrong Registry address	Verifier refuses startup or digest check fails
Wrong verifier key	Verifier refuses startup
Registry not launch-ready	Verifier refuses startup and Registry rejects verification
Expired authorization	Registry rejects
Authorization valid for more than one hour	Registry rejects
Replayed signature	Consumed nonce or existing verified status causes rejection
Smart-contract caller or relay	Registry rejects
Human Passport or verifier outage	New verification pauses; existing status remains usable

5.12 Why verification is one-time rather than per transaction

A new Passport check on every buy, sell, or claim would create continuous dependence on the verifier and Passport service. Such a design could freeze ordinary economic activity during a service outage and would give an off-chain service recurring influence over access to already-held assets. Revision 7 instead places the external dependency at one permanent onboarding point.

This choice has a cost. If a wallet later falls below the scorer threshold, changes hands, or becomes compromised, its verification remains. The contract cannot distinguish those events. Permanent status is therefore a deliberate tradeoff between operational continuity and ongoing identity freshness.

The fixed score is an admission control, not a reputation score. A participant with score 40 has the same protocol rights as a participant with score 15. The score is never used to weight trades, dividends, registration, votes, or proposal authority.

6. LABR V3 Token

6.1 Fixed supply

LABR has 18 decimals and a fixed supply of:

1,000,000,000 LABR

The constructor mints once to the LABR contract itself. There is no external mint function. Burns and transfers to the zero address are disabled.

6.2 Launch ownership

A temporary owner exists only to bind the exact Exchange. Before finalization, ordinary transfers and approvals are disabled. `finalizeLaunch` validates the Exchange runtime, token address, Identity Registry binding, DAO treasury, compatibility ID, and fixed allocation constants. It then records

Exchange, transfers the entire supply to Exchange, enables normal operation, and sets owner to zero atomically.

A separate early renunciation path is prohibited because it could strand the supply in LABR.

6.3 Transfer limits

Maximum transaction: 5,000 LABR

Maximum wallet: 10,000 LABR

Official trade cooldown: 12 hours

Minimum dividend balance: 1 LABR

The official Exchange holds more than the wallet maximum because it contains inventory. No ordinary participant receives an exemption.

6.4 Direct transfers

A user transfer must be initiated directly by the sending EOA. The recipient must have no code. A direct transfer does not require the recipient to be verified, because LABR may be given or moved before onboarding. An unverified recipient cannot use the official Exchange, accrue dividends, claim dividends, or register until verification.

The resulting recipient balance may not exceed 10,000 LABR and the transfer amount may not exceed 5,000 LABR.

6.5 Allowances and transferFrom

Approvals are restricted to the official Exchange and require a verified direct wallet. Only Exchange may call transferFrom. This prevents general allowance-based movement and reduces third-party contract risk, at the cost of composability.

6.6 Trade recording

Official buys and sells are token transfers initiated by Exchange. LABR validates the trader as a verified direct wallet, applies the wallet and transaction limits, enforces the cooldown, updates dividend eligibility after the balance change, and records the trade timestamp.

The token is the authoritative cooldown source used by Exchange's canTrade and nextTradeTime views.

7. Equal-Holder Dividend Accounting

7.1 Policy definition

Dividend weight is binary:

weight(account) = 1 when:

Identity Registry reports verified

AND LABR balance $\geq$ 1 LABR

AND account is not a protocol address

weight(account) = 0 otherwise

Balance above 1 LABR does not increase weight.

7.2 Why token-proportional accounting is rejected

A balance-weighted model gives greater recurring income to wealthier holders. That conflicts with the intended LaborCoin model. Revision 7 treats LABR as the qualification threshold and economic participation token, not as a multiplier for holder-dividend power.

7.3 Global accumulator

LABR tracks:

```
eligibleDividendHolderCount
magnifiedDividendPerEligibleHolder
totalDividendsDistributed
totalDividendsWithdrawn
totalDividendsRedirectedToDAO
```

For deposit D and eligible count $N > 0$:

```
magnifiedDividendPerEligibleHolder +=  $D * 2^{128} / N$ 
```

Each eligible account has a synthetic unit of one. The contract does not iterate over holder addresses.

7.4 Entry correction

When an account becomes eligible, its correction subtracts the current global accumulator. This prevents the new account from receiving deposits made before entry.

Example:

- Alice and Bob are eligible when 20 POL is deposited. Each earns 10 POL.
- Carol then verifies and reaches 1 LABR.
- Carol's entry correction excludes the previous 20 POL.
- A later 30 POL deposit is split three ways. Alice, Bob, and Carol each earn 10 POL from that deposit.

Totals are Alice 20, Bob 20, Carol 10.

7.5 Exit correction

When an eligible account falls below 1 LABR, its correction adds the current accumulator. This preserves prior accrual while setting future weight to zero.

A participant may later claim already accrued POL even with zero LABR, provided the wallet remains permanently verified. The account receives no deposits made while below the threshold.

7.6 Re-entry

Re-entry subtracts the then-current accumulator. The participant resumes with one unit but does not receive deposits made during absence.

7.7 Unequal-balance example

Assume the eligible set is:

Holder LABR balance Dividend units		
A	1	1
B	100	1
C	10,000	1

A 90 POL deposit gives 30 POL to each. C does not receive more because C owns more LABR.

7.8 Multi-wallet risk

If one person controls several independently verified wallets and keeps at least 1 LABR in each, each wallet has one unit. This is precisely why identity verification gates eligibility and claims. Human Passport scoring and credential deduplication make simple replication harder, but do not eliminate the possibility. The design chooses an accessible score gate rather than requiring government ID or biometric proof.

7.9 Deposit source

Only official Exchange may call `depositDividends`. The 5% holder share from each sale is deposited after the seller's LABR balance and eligibility have been updated. A seller who exits below 1 LABR does not share in the dividend generated by that same sale.

7.10 Zero eligible holders

When no eligible holder exists, LABR sends the deposit to the DAO and records the redirection. Retaining it for future participants could award historical value to the first later entrant and create timing incentives.

7.11 Rounding

Integer division may leave a small undistributed residue inside LABR. Testing must bound this residue and prove it cannot be extracted through repeated entry, exit, transfer, or claim operations. No administrator may sweep residue.

7.12 Claim gate

`claimDividends` requires the verified direct wallet. This expresses the project's policy that equal-holder distributions belong to verified participants. Since verification is permanent, claims do not depend on a fresh Passport API response.

7.13 Accounting state model

For each account, dividend accounting can be understood as a small state machine:

```
UNVERIFIED_OR_BELOW_THRESHOLD
  weight = 0
```

```
VERIFIED_AND_AT_LEAST_ONE_LABR
  weight = 1
```

```
VERIFIED_BUT_BELOW_ONE_LABR
  weight = 0
```

Verification is permanent, but dividend eligibility is dynamic because the LABR balance may cross the one-token threshold. Only LABR can update the eligibility mapping, and every LABR balance-changing path invokes synchronization after the token movement. Identity Registry invokes the same synchronization after first verification so a pre-funded wallet is handled atomically.

The account correction is the ledger that separates deposits earned during eligible periods from deposits made before entry or during absence. The contract never needs to retain an array of all holders or iterate over the eligible set. The global count is used only as the denominator for a new deposit; the correction records each account's entry and exit boundaries.

The following conservation relationship should hold apart from bounded integer residue:

total dividend POL received by LABR
=
POL withdrawn by participants
+ POL currently withdrawable
+ bounded rounding residue
+ POL redirected to DAO when holder count was zero

The test suite must calculate each term independently over randomized state sequences rather than trusting public counters alone.

7.14 Detailed distribution scenarios

Scenario A: equal weight despite unequal balances

Assume three verified eligible wallets hold 1, 100, and 10,000 LABR. A sale contributes 12 POL to dividends. There are three units, so each wallet accrues approximately 4 POL. Token quantity does not enter the denominator or account weight.

Scenario B: entry after a distribution

Alice is the only eligible holder when 8 POL arrives, so Alice accrues 8 POL. Bob then verifies while holding 2 LABR. Bob's entry correction excludes the earlier accumulator. A later 10 POL deposit is divided between Alice and Bob. Alice's cumulative accrual becomes 13 POL and Bob's becomes 5 POL.

Scenario C: temporary exit and re-entry

Alice and Bob are eligible when 10 POL arrives, earning 5 POL each. Alice transfers below 1 LABR and exits. A second 6 POL deposit goes entirely to Bob. Alice later receives enough LABR to re-enter. A third 8 POL deposit is divided equally. Final accrual is Alice 9 POL and Bob 15 POL. Alice does not receive the 6 POL deposited during absence.

Scenario D: claim after full exit

Alice accrues 4 POL and then sells all LABR. The exit correction preserves her accrued amount. She remains permanently verified and may claim the 4 POL even though her current dividend weight is zero. She receives no later deposits unless she again holds at least 1 LABR.

Scenario E: attempted wallet splitting

A participant transferring 1 LABR to nine unverified wallets does not create nine new dividend units. Those wallets have weight zero. Each additional wallet must independently complete score-15 verification. This materially raises the cost of simple Sybil replication but does not guarantee that one natural person can never qualify multiple wallets.

7.15 Claim integrity and payout order

A claim performs the following operations in one non-reentrant transaction:

1. Confirm the caller is a direct wallet.
2. Confirm permanent Registry verification.
3. Synchronize current eligibility.
4. Compute cumulative entitlement from the global accumulator and account correction.
5. Subtract amounts already withdrawn.
6. Increase the withdrawn amount before transferring POL.
7. Transfer only the calculated withdrawal to the caller.

State is updated before the external POL call. Reentrancy protection prevents a recipient fallback from entering another claim. A failed POL transfer reverts the entire transaction, including the withdrawal counter change.

The contract rejects direct POL deposits. Dividend funds can enter through depositDividends only from the exact official Exchange. Forced POL delivered through protocol-level mechanisms may still exist outside accounted distributions and has no recovery path. Tests must distinguish accounted dividends from unrelated forced balance.

7.16 Policy implications

Equal-holder dividends are intentionally not a passive yield proportional to capital. They provide a shared economic benefit to qualifying participants. The minimum 1 LABR balance represents membership in the economic holder set, while verification reduces trivial replication of that set.

The model does not make every natural person's total economic position equal. A person who controls several independently qualifying wallets may receive several shares, and a person who cannot satisfy the scorer receives none. The contract enforces the published rule exactly, but the fairness of the result still depends on the external identity system and participant behavior.

8. Exchange V6 and Bonding Curve

8.1 Official market role

Exchange V6 is the official initial distribution and redemption contract. External transfers and third-party markets may exist, but they are not official Exchange activity and cannot be guaranteed or controlled by the protocol.

8.2 Identity gate

Every buy and sell requires permanent Registry verification. This is contract-level enforcement. Direct contract calls cannot bypass it.

The frontend may help a wallet obtain verification, but its interface state does not grant access. Exchange reads Registry on-chain.

8.3 Permanent limits

Maximum official transaction: 5,000 LABR
Maximum permitted participant wallet: 10,000 LABR
Cooldown between official trades: 12 hours

A wallet above 10,000 LABR is completely barred from both official buying and selling. At exactly 10,000 LABR it may sell but cannot buy more. These rules are permanent constants and must appear in source, tests, interface, FAQ, and whitepaper.

8.4 Direct POL denomination

Exchange uses POL directly. There is no Chainlink feed and no USD conversion. This removes oracle freshness and conversion failure, but the fiat value of every price changes with POL's external market value.

8.5 Marginal price

Let:


```
S = 1,000,000,000 LABR
s = total LABR outside official Exchange inventory
x = s / S
Pmin = 14 POL per LABR
Pmax = 210 POL per LABR
R = 196 POL per LABR
```

Then:

$$P(s) = P_{\min} + R \cdot x^2$$

At zero distribution, marginal price is 14 POL. At full distribution, it is 210 POL.

8.6 Integral reserve

A user buying a range of tokens must pay the area under the curve rather than the ending marginal price multiplied by amount. Define:

$$F(s) = P_{\min} \cdot s + (R/3) \cdot s^3 / S^2$$

For exact amount a:

$$\text{buy reserve} = F(s + a) - F(s)$$
$$\text{sell gross redemption} = F(s) - F(s - a)$$

The on-chain implementation uses 18-decimal token units and POL wei. Purchase calculations use protective rounding so reserve is not underfunded. Sale calculations use protective rounding so reserve is not overpaid.

8.7 Buy allocation

Exchange first determines the curve reserve contribution. The DAO contribution is calculated so it is 10% of total input:

$$\text{total POL in} = \text{reserve contribution} + \text{DAO contribution}$$
$$\text{DAO contribution} = \text{ceil}(\text{reserve contribution} / 9)$$

This means approximately 90% of total input becomes curve reserve and 10% goes to the DAO.

The buyer provides an exact token amount, maximum POL input, deadline, and required msg.value. Excess above the exact required input is refunded within the user's maximum.

8.8 Sell allocation

For gross curve redemption G:

$$\text{seller} = \text{floor}(90\% \text{ of } G)$$
$$\text{DAO} = \text{floor}(5\% \text{ of } G)$$
$$\text{dividends} = G - \text{seller} - \text{DAO}$$

The remainder is assigned to dividends so allocations sum exactly to gross redemption. Exchange returns LABR to inventory, updates totalSold and reserve, deposits dividends, sends DAO contribution, and pays seller.

8.9 Tranche unlocking

The initial unlocked supply is 100,000,000 LABR. Additional capacity unlocks in 50,000,000 LABR increments as a valid purchase requires it. Unlocking does not create tokens and does not move POL.

8.10 Inventory invariant

Exchange LABR balance = 1,000,000,000 LABR - totalSold

A direct token transfer into Exchange is rejected by LABR because it would violate this relationship.

8.11 Reserve invariant

accountedReserve = F(totalSold)

Exchange POL balance >= accountedReserve

DAO and dividend payments are excluded from accounted reserve. A forced POL transfer can create excess but cannot cover a recorded accounting mismatch. Excess has no recovery function and remains trapped.

8.12 Quote examples

At low distribution the curve is near 14 POL per LABR. A small exact-token buy therefore requires roughly 14 POL of reserve per LABR plus the DAO contribution. As distribution grows, the quadratic term increases marginal and interval prices. Exact values must always come from the deployed quoteBuyExactTokens and quoteSellExactTokens functions because integer rounding and current totalSold determine execution.

8.13 External markets

LABR may move through direct transfers and may appear on unofficial venues. Official wallet, cooldown, identity, and curve rules do not control an external venue. The protocol must not imply that every LABR market is identity-gated or reserve-backed by Exchange.

8.14 Amount units, rounding, and slippage controls

All token inputs use 18-decimal LABR units and all POL values use wei. Frontends may display decimals, but the contract executes integer arithmetic only. A whole-token example such as 5 LABR is submitted as $5 * 10^{18}$ token units.

The buy quote calculates the increase in integral reserve between the current sold supply and the post-purchase sold supply. The 10% treasury contribution is calculated with ceiling division so the treasury contribution is never understated by integer truncation. The total required input is reserve contribution plus treasury contribution.

The sale quote calculates the decrease in integral reserve. The DAO and holder-dividend allocations use floor division. Any indivisible remainder favors the seller. This policy avoids creating an unassigned wei liability and is deterministic at every supply point.

A buy includes maxPOLIn; a sell includes minPOLOut; both include a deadline. The frontend should request a current on-chain quote immediately before submission and apply a narrowly disclosed tolerance. These arguments protect the participant from a state change between quote and execution. They do not guarantee execution because another transaction may change sold supply, inventory, cooldown, wallet balance, or allowance first.

8.15 Trade execution sequence

A successful buy performs these high-level steps:

1. Require a verified direct wallet and finalized launch.
2. Confirm deadline, amount, wallet room, inventory, and tranche capacity.
3. Confirm reserve and inventory invariants before accepting the new payment as evidence of solvency.
4. Compute exact reserve and DAO contributions.

5. Update sold supply and accounted reserve.
6. Transfer exact LABR to the buyer through token-enforced limits and cooldown.
7. Send DAO contribution and refund any excess payment.
8. Recheck reserve and inventory invariants.

A successful sell performs:

1. Require a verified direct wallet and finalized launch.
2. Confirm deadline, amount, wallet ceiling, balance, allowance, sold supply, and reserve.
3. Compute gross curve redemption and fixed 90/5/5 allocation.
4. Reduce sold supply and accounted reserve.
5. Transfer LABR back to Exchange, causing token eligibility synchronization.
6. Deposit the holder share after the seller's new eligibility is known.
7. Send DAO contribution and seller proceeds.
8. Recheck accounting invariants.

This order prevents a seller who exits below 1 LABR from receiving a share of the same sale's dividend deposit. A seller remaining above the threshold stays in the eligible set and receives the same one unit as every other eligible holder.

8.16 Official Exchange scope and bypass boundaries

Identity, wallet, transaction, and cooldown rules are enforced by contracts in the official path. A participant cannot bypass them by calling Exchange directly rather than using the website. The frontend is a convenience and safety layer, not the source of authorization.

The protocol cannot prevent independent markets from accepting LABR under different rules. A person may transfer LABR directly or trade through an unrelated venue if one exists. Such activity does not use official curve reserves and does not alter the official Exchange's published access rules. The project should avoid claiming control over all secondary activity.

An unverified wallet may receive LABR through a permitted direct transfer, but it cannot sell those tokens into the official reserve until it verifies. This is an intentional consequence of identity-gated official exits. Participants must be told clearly before accepting transferred LABR.

8.17 Economic stress conditions

The official curve is denominated in POL. A large change in POL's external purchasing power does not alter the contract's POL price function. It can materially change the fiat value of LABR, the DAO treasury, holder distributions, and redemptions.

Heavy selling reduces sold supply and reserve liability along the inverse integral. Selling remains bounded by the amount previously sold and by actual reserve coverage. The Exchange does not borrow, issue debt, or promise fiat redemption. Forced POL sent outside ordinary calls is excluded from `accountedReserve` and cannot be withdrawn.

The tranche mechanism limits how much inventory is distributable at a time but does not create discretionary control. Unlocking occurs mechanically when a valid purchase would exceed current unlocked capacity. It does not change total supply or curve mathematics.

9. Registration V6 and LaborVote V9

9.1 Shared identity

Registration reads permanent status from Identity Registry. It does not call Human Passport, use the verifier key, or validate a second EIP-712 authorization. This reduces duplicate code and prevents scorer or threshold mismatch between economic and governance onboarding.

9.2 Requirements

The direct wallet must be verified, hold at least 1 LABR, have no prior registration, hold no LABRV, and interact after LaborVote has finalized Registration as its sole minter.

9.3 Permanent record

Registration stores:

- registered status;
- sequential member number;
- registration timestamp;
- total member count.

Registration cannot be revoked. A participant who transfers or sells all LABR after registration keeps LABRV and governance membership under this candidate. The 1 LABR requirement is an admission threshold, not an ongoing voting-balance requirement.

9.4 LaborVote

Each registrant receives exactly 1 ether LABRV. The token uses 18 decimals only for ERC-20 representation; one whole LABRV is the fixed membership unit.

Transfers, approvals, transferFrom, and burns revert. No delegation or checkpoint system exists. Governance reads current LABRV balance and Registration records directly.

9.5 Launch finalization

LaborVote is deployed with expected LABR and Registration runtime hashes and a temporary launch owner. Registration is deployed with expected LABR, LABRV, Identity, and self runtime hashes. LaborVote validates Registration and atomically locks it as sole minter while setting owner to zero.

9.6 Certificate

The site can generate a US Letter membership certificate from confirmed on-chain member number and timestamp. It is a local presentation artifact. The blockchain record is authoritative and the certificate does not create rights.

10. Proposal Text Policy V1

10.1 Purpose

Proposal descriptions are permanent public data. Governance calls an exact immutable policy before storing description text. This prevents the official Governance contract from accepting categories of links, markup, encodings, and disallowed terms selected at launch.

10.2 Fixed properties

- maximum 1,000 bytes;
- fixed ASCII and character constraints;
- fixed link, markup, and encoding restrictions;
- fixed hashed lexicon commitment;
- no administrator or update path.

10.3 Limitations

A fixed policy can produce false positives, false negatives, and future linguistic mismatch. It cannot understand intent. Since it is immutable, correction requires a replacement governance deployment and new Aragon permission migration.

11. Governance V15

11.1 One-member-one-vote

A wallet is eligible when it holds exactly one LABRV and has a matching Registration record. Token wealth does not affect vote weight.

11.2 Activation

Governance proposal creation remains unavailable until at least 50 registered members exist. This prevents a very small founding group from activating treasury transfers through the final contract.

11.3 Proposal creation

A registered direct wallet may have one active proposal at a time. The proposal title is fixed as Treasury Transfer. The description must pass Policy. Recipient cannot be zero, the DAO, the current protocol contracts, or listed superseded protocol addresses. Amount must be positive and at most 5% of the DAO's current native-POL balance.

The proposal snapshots:

- electorate size;
- treasury balance;
- creator;
- recipient;
- amount;
- description and hash;
- start and end time;
- deterministic call ID.

11.4 Electorate snapshot

A member registering after proposal creation cannot vote on that proposal. Governance uses member number relative to the stored electorate size to enforce the snapshot.

11.5 Participation threshold

Required participation is:

$\text{ceil}(\text{electorateSize} * 25 / 100)$

At 50 members, required participation is 13, not 12. At 51 members, it is also 13.

11.6 Approval threshold

Required yes votes are:

$\text{ceil}(\text{votesCast} * 67 / 100)$

A proposal with no votes fails. At 3 votes cast, 3 yes are required because $\text{ceil}(2.01) = 3$. At 100 votes cast, 67 yes are required.

11.7 Timing

Voting lasts 14 days. A successful proposal may execute for 7 days after voting ends. After the execution window, it expires.

11.8 Execution

Any wallet may call execution after success because execution is mechanical. Governance rechecks:

- proposal is not executed;
- voting has ended;
- thresholds passed;
- execution window remains open;
- current DAO balance covers amount;
- amount remains at most 5% of current DAO balance;
- Governance has exact DAO execute permission.

It then builds one action:

```
to = approved recipient  
value = approved POL amount  
data = empty
```

The DAO performs the transfer. Governance records execution and cannot execute the proposal again.

11.9 Narrow authority

Governance cannot submit arbitrary calldata, token transfers, upgrades, permission changes, or multiple actions. It has no owner, pause, setter, or recovery function.

11.10 Repeated-proposal risk

The 5% cap is per proposal, not per week, month, or year. Repeated approved proposals can spend a substantial fraction of treasury. The protocol relies on member participation and judgment rather than an additional cumulative cap.

12. Treasury and Aragon Permission Architecture

12.1 Custody

The Aragon DAO at 0x0C2e5679153593b82a84eAB5CA90895BB291Cec4 holds treasury POL. Custom Governance does not receive or escrow proposal funds.

12.2 Execute permission

Governance requires Aragon's EXECUTE_PERMISSION_ID. The permission must be granted only after deployed runtime verification and fork rehearsal. Old Governance and Treasury Module permissions must be revoked after the new path is proven.

12.3 Recipient diligence

A technically valid proposal can pay a bad recipient. Contracts cannot prove that an address represents workers, a strike, a union, a mutual-aid effort, or a legitimate expense. Participants must verify recipient control and purpose through social and organizational processes before voting.

12.4 Irreversibility

A completed native-POL transfer cannot be reversed by Governance. There is no clawback, dispute administrator, or recipient freeze.

13. Runtime Commitments and Immutable Deployment

13.1 Why source verification is insufficient

Publishing source does not prove that a deployed address contains that runtime. Compiler version, optimizer, metadata, imports, constructor values, and immutables affect bytecode. Revision 7 records the complete build and compares on-chain runtime directly.

13.2 Record types

For each contract the release must preserve:

- source SHA-256;
- compiler profile;
- standard JSON or equivalent compiler input;
- artifact JSON;
- metadata JSON;
- build-info JSON;
- creation bytecode length and hash;
- runtime template length and hash;
- immutable reference locations;
- diagnostics;
- sealed compilation ZIP and hash.

13.3 Constructor-independent runtimes

Identity, LABR, Exchange, LABRV, Registration, and Policy intentionally store deployment values in ordinary storage or have no constructor inputs affecting runtime. Their runtime templates are intended to be independent of constructor values. Compilation must confirm this assumption.

13.4 Governance immutables

Governance stores final LABR, LABRV, Registration, Policy, and expected hashes in immutables. Its deployed runtime differs by final values. The compilation record must identify immutable offsets and reconstruct the exact expected deployed runtime after addresses are known.

13.5 Commitment cycle

Identity commits to LABR runtime. LABR commits to Identity and Exchange runtimes. Exchange validates Identity and LABR. This is resolved through the ordered finalization procedure rather than a permanent setter.

13.6 Source freeze

Any source edit after compilation invalidates affected artifacts and all downstream commitments. A comment-only edit can change metadata and bytecode. The final source tree must therefore be frozen before record creation.

13.7 Evidence chain from source to deployed runtime

A credible immutable deployment record should allow an independent reviewer to reproduce the following chain:

canonical source files

- > exact compiler input
- > compiler version and settings
- > creation bytecode and ABI
- > constructor arguments
- > deployment transaction
- > deployed address
- > actual runtime bytecode
- > Keccak-256 runtime commitment
- > cross-contract binding checks

Each arrow requires evidence. A verified explorer page alone is insufficient because an explorer may show source that compiles to matching bytecode without documenting the entire local release package, constructor intent, or dependency graph. Conversely, a local artifact is insufficient without comparing it to on-chain code.

For every contract, the compilation record should preserve at least:

- canonical non-Remix source;
- pinned Remix source used for deployment, when applicable;
- compiler standard JSON input or equivalent complete build information;
- compiler output artifact and metadata;
- creation-bytecode hash;
- runtime template hash;
- immutable references;
- compiler diagnostics;
- source-file hashes;
- constructor argument schema and encoded arguments;
- deployed transaction, block, address, and actual runtime hash after deployment.

13.8 Runtime commitments versus addresses

A runtime hash answers: "What exact executable code is present?" An address answers: "Where is that code and state located?" Both are required. Two contracts can share a runtime hash but have different storage configuration, balances, permissions, or histories. Constructor-independent runtime design improves precommitment but does not make all instances equivalent.

The launch checks therefore combine runtime commitments with explicit reciprocal state checks. LABR does not merely check Exchange bytecode; it also checks that Exchange reports the same LABR, Registry, DAO treasury, compatibility ID, and fee constants. Registry similarly checks that LABR points back to Registry and its expected code hash.

13.9 Mandatory abort conditions

Deployment must stop rather than improvise when any of the following occurs:

- source hash differs from the approved manifest;
- compiler version or settings differ;
- unexpected warning or error appears;
- runtime template differs from the sealed record;
- constructor encoding cannot be independently reproduced;
- a deployed address has unexpected code;
- actual runtime hash differs from predicted runtime;
- reciprocal contract binding differs;
- launch owner is not the intended temporary deployer;

- inventory, reserve, identity, minter, or governance readiness check fails;
- Aragon permission grant differs from the reviewed permission tuple;
- a superseded permission cannot be enumerated or safely revoked;
- frontend or verifier configuration does not match on-chain values.

An immutable launch should not rely on an undocumented exception made under time pressure. Any source correction returns the affected contract and every runtime-dependent contract to compilation and review.

14. Deployment Procedure

14.1 Build profile

Solidity: 0.8.36+commit.8a079791
 OpenZeppelin: 5.6.1
 Optimizer: 200 runs
 EVM: Prague
 Via IR: false
 Metadata bytecode hash: ipfs
 Network: Polygon mainnet, chain ID 137

14.2 Compile order

1. Proposal Text Policy V1.0.1
2. Identity Registry V1.0.0
3. Exchange V6.0.0
4. LABR V3.0.0
5. LaborVote V9.0.0
6. Registration V6.0.0
7. Governance V15.0.0

14.3 Deploy and finalize identity/economic cycle

1. Deploy Policy and verify runtime.
2. Deploy Identity with verifier, scorer hash, and expected LABR runtime hash.
3. Deploy LABR with Identity address/hash and expected Exchange runtime hash.
4. Finalize Identity to exact LABR. Confirm Identity owner becomes zero.
5. Deploy Exchange with LABR, Identity, and Identity runtime hash.
6. Finalize LABR to exact Exchange. Confirm full inventory transfer and LABR owner zero.
7. Confirm Registry identityReady, Exchange launchReady, token/registry bindings, zero reserve, full inventory, and fixed constants.

14.4 Deploy and finalize membership

1. Deploy LaborVote with LABR and expected LABR and Registration hashes.
2. Deploy Registration with LABR, LABRV, Identity, and expected hashes.
3. Finalize LaborVote minter to Registration.
4. Confirm owner zero, Registration ready, zero members, and zero LABRV supply.

14.5 Deploy governance

1. Deploy Governance with LABRV, Registration, Policy, and expected hashes.
2. Compare final deployed runtime including immutables.
3. Grant exact Aragon execute permission.

4. Confirm readiness and run fork execution.
5. Revoke all obsolete LaborCoin execute permissions.

14.6 Production cutover

Update verifier environment to the final Registry. Update site addresses and runtime hashes. Verify frontend ABIs, EIP-712 domain, service worker assets, and fail-closed gate. Complete a real low-value end-to-end rehearsal before opening production.

15. Security Architecture and Threat Model

15.1 Immutability risk

The absence of upgrade and recovery authority prevents unilateral changes but also prevents patching. A severe defect can permanently disable or misallocate value. Compilation and tests are not substitutes for independent review.

15.2 Verifier compromise

The fixed verifier can authorize permanent status. A stolen key can admit unauthorized wallets until the service is stopped, and admitted status cannot be revoked. The key must be isolated, access-limited, backed up securely only when intended, and never used for unrelated blockchain transactions.

15.3 Scorer dependence

The scorer's composition and external provider behavior may change even though the on-chain threshold and scorer hash do not. The verifier must verify it is querying the intended scorer. Provider outages stop new verification.

15.4 Sybil residual risk

Passport scoring is not proof of a unique natural person. Equal-per-wallet dividends create an incentive to establish additional verified wallets. Deduplicated credentials, threshold, direct-wallet restrictions, and trading limits reduce ordinary abuse but cannot eliminate coordinated or independently credentialed participants.

15.5 Dividend accounting risk

The equal-holder accumulator is sensitive to eligibility transitions. A correction-sign error could award history, erase accrual, or duplicate value. Tests must cover every transition and randomized long sequences. No manual reconciliation exists after launch.

15.6 Exchange risk

Integral arithmetic, rounding, reserve updates, transfer order, and external POL sends must remain consistent under reentrancy protection. Forced POL remains trapped. POL volatility can make the real-world curve value unexpectedly high or low.

15.7 Smart-wallet exclusion

The direct-wallet policy excludes legitimate multisig and account-abstraction users. `tx.origin` is used as a restrictive condition, not an authentication secret. Future protocol changes on Polygon could affect assumptions and should be reviewed immediately before launch.

15.8 Treasury risk

Governance can approve a mistaken or malicious recipient. The DAO transfer is irreversible. The contract cannot evaluate worker legitimacy, fraud, coercion, or legal compliance.

15.9 Governance capture

One-member-one-vote reduces wealth weighting but does not prevent coordinated capture, low turnout, bribery, coercion, or a verifier-admitted Sybil population. The 50-member activation threshold and 25% participation requirement are fixed safeguards, not guarantees.

15.10 Permission migration

Leaving old Aragon execute permissions active can preserve obsolete control paths. The final audit must enumerate all grantees and revoke every superseded LaborCoin Governance, module, executor, and deployer permission not required after launch.

15.11 Frontend and infrastructure

A compromised site can display false addresses, request malicious signatures, or hide failures. Users can verify contracts independently, but many rely on the interface. Dependencies should be pinned or preserved locally, service-worker caches versioned, TLS and DNS protected, and final addresses displayed prominently.

15.12 Legal and operational uncertainty

Token, DAO, identity, labor-support, and tax treatment can vary by jurisdiction and change. No immutable contract can guarantee legal classification or service-provider access.

15.13 Cross-component failure matrix

Failure	Immediate effect	Preserved capability	Required response
Human Passport outage	New authorizations unavailable	Existing verified wallets continue	Wait for service restoration
Verifier hosting outage	New authorizations unavailable	Existing verified wallets continue	Restore identical service as before
Verifier key loss	No new valid authorizations	Existing verified wallets continue	No in-protocol key rotation
Verifier key compromise	Unauthorized permanent verification possible	Contract rules still apply	Stop verifier immediately, if possible
Frontend compromise	Users may see false data or malicious prompts	Direct contract verification remains possible	Disable deployment, restore previous version
RPC outage	Interface reads and submissions fail	Contracts remain on-chain	Use verified alternate RPC
Exchange invariant failure	Trade reverts	Transfers, prior claims, governance may remain	Investigate; no owner overrule
LABR dividend transfer failure	Claim or sale deposit reverts	Entitlement state remains unchanged	Diagnose recipient or DAO
Aragon permission missing	Proposal execution fails	Voting and treasury custody remain	Correct permission only before launch
Obsolete permission remains	Historical contract may retain execution authority	New protocol may otherwise work	Treat as launch-blocking scenario
Polygon halt or censorship	All on-chain operations stop or delay	State remains recorded	Await network recovery; no overrule

15.14 Verifier operational controls

Although verification status is on-chain, the signer is an operationally sensitive service. The production verifier should use a dedicated key with no POL or unrelated authority, restricted environment access, exact dependency locks, a narrow origin policy, rate limiting, request-size limits, and minimal logs. The signer key must not be reused as deployer, DAO administrator, treasury recipient, or general wallet.

Backups create a tradeoff. A recoverable key preserves future onboarding after infrastructure loss, but every backup increases compromise risk. The final operational plan should document where the key exists, who can access it, how service restoration is performed, and how an incident is publicly disclosed. The contract has no signer rotation, so this plan must be settled before deployment.

The verifier should refuse startup rather than serve partially when the chain ID, Registry code, Registry address, configured verifier, scorer hash, threshold, or launch-ready state differs. Health output

should expose only public configuration and should never reveal private keys, API keys, raw Passport responses, or internal exception details.

15.15 Website and dependency integrity

The website does not enforce protocol authorization, but it influences most participant decisions. A compromised build could substitute addresses, misstate quotes, or request an unrelated signature. The final site should centralize addresses in one reviewed configuration, remain disabled until every address and runtime hash is present, and display predeployment status prominently.

Browser dependencies loaded from public CDNs create mutable external dependencies. The strongest launch approach is to preserve the exact tested browser bundles locally or use integrity-pinned immutable resources. The service worker must use a release-specific cache name so old ABI or address files cannot persist across cutover. Desktop and mobile tests should include a clean browser profile and an upgrade from the previous cached site.

16. Testing and Assurance

16.1 Source-level gates

Before compilation, automated guards should confirm versions, constants, compatibility strings, equal-holder variable names, absence of balance-weighted dividend denominators, required identity checks, and no stale Revision 6 active references.

16.2 Unit tests

Every public and external function, error branch, finalization state, eligibility transition, quote boundary, and proposal transition requires deterministic tests.

16.3 Fuzz tests

Fuzz token amounts, supply points, wallet balances, holder counts, deposit sizes, entry/exit sequences, vote counts, electorate sizes, and treasury balances.

16.4 Stateful invariants

At all reachable states:

- total LABR supply remains fixed;
- no ordinary wallet exceeds 10,000 LABR;
- no transaction moves more than 5,000 LABR;
- Exchange inventory equals supply minus total sold;
- accounted reserve equals curve liability;
- one eligible account contributes one dividend unit;
- total withdrawn never exceeds total distributed plus direct redirections as defined;
- unverified accounts never accrue or claim;
- LABRV supply equals successful registrations;
- each registered wallet holds one LABRV;
- executed proposals cannot execute again.

16.5 Fork tests

A Polygon fork should use the actual DAO and permission system. Rehearse deployment order, runtime comparisons, finalization, permission grant, proposal creation, voting, execution, permission revocation, and failure cases.

16.6 Frontend and verifier tests

Verify exact EIP-712 digest parity, startup fail-closed behavior, score conversion, origin restrictions, no secret logging, wallet reconnection, identity synchronization, equal-dividend display, claim, registration, certificate generation, mobile behavior, service-worker updates, and predeployment disablement.

16.7 Independent review

An independent reviewer should receive source, compiler profile, artifacts, tests, runtime graph, deployment sequence, authority matrix, threat model, and permission history. All findings must be resolved or explicitly accepted before deployment.

17. Participant Journey

17.1 Wallet setup

A participant uses MetaMask or another compatible self-custody wallet that exposes a direct EOA. Contract wallets and relays are unsupported. The wallet switches to Polygon and obtains POL.

17.2 Human Passport

The participant builds a score through Human Passport. The site links directly to the Passport application. A score of at least 15 is required.

17.3 Permanent verification

The site requests an authorization from the LaborCoin verifier. The wallet submits it to Identity Registry and pays Polygon gas. Once confirmed, status is permanent.

17.4 Economic participation

The verified wallet opens Exchange, reviews current curve metrics, and buys an exact LABR amount. The resulting balance cannot exceed 10,000 LABR and the trade cannot exceed 5,000 LABR.

17.5 Equal dividends

When the verified wallet holds at least 1 LABR, it enters the equal-holder set. The Exchange page shows eligibility, current eligible-holder count, and withdrawable POL. Claims are made on the Exchange page.

17.6 Selling

The verified wallet may sell after cooldown, subject to limits and available reserve. A sale returning the balance below 1 LABR removes future dividend eligibility while preserving accrued amounts.

17.7 Governance registration

A verified wallet holding at least 1 LABR may sign the worker-centered attestation and call Registration. One LABRV and permanent member number are created. The site may generate a US Letter certificate.

17.8 Governance

After 50 members, eligible participants may create treasury-transfer proposals and vote. Successful proposals execute through the Aragon DAO within the fixed window.

18. Historical Migration

18.1 Historical deployed stack

The previous deployed system includes the historical LABR token, Exchange V4, LaborVote V7, Registration V4, Governance V13, Treasury Module V1, and the existing Aragon DAO. Addresses remain in the public historical registry.

18.2 Superseded Revision 6

Revision 6 introduced direct-POL Exchange V5 and improved runtime commitments, but LABR V2.1 implemented token-balance-weighted dividends. That economic model was not the intended Labor-Coin design. Revision 6 is permanently superseded and must not be deployed as final.

18.3 Migration principles

- Preserve historical source and deployment evidence.
- Never relabel an old address as a Revision 7 component.
- Recompile every dependent contract after source changes.
- Grant new DAO permission only after runtime verification.
- Revoke obsolete permission only after successful rehearsal.
- Update frontend and verifier in a coordinated cutover.
- Communicate clearly that token replacement may require participant action if a migration is later defined.

This source package does not claim a finalized token-migration mechanism. Any migration from historical LABR must be separately specified, tested, and documented before deployment.

19. Risks and Limitations

19.1 No guaranteed one-person-one-wallet result

A score-15 Passport gate materially raises friction but does not guarantee unique humanity. Equal dividends remain vulnerable to multiple independently verified wallets.

19.2 Permanent verification

Verification cannot be revoked or recovered. A compromised wallet keeps status; a lost wallet cannot transfer status; a mistaken authorization cannot be undone.

19.3 Verifier and provider availability

New users depend on the verifier and Human Passport. Existing verified users continue, but growth can stop during an outage.

19.4 POL volatility and liquidity

The curve is denominated in POL. Fiat value can change sharply. External liquidity may differ from official Exchange pricing and may not exist.

19.5 Immutability

No owner can patch the final contracts. A bug can permanently halt or distort operation. Replacement deployment does not automatically migrate state or value.

19.6 Direct-wallet exclusion

Smart-wallet users are excluded. This can reduce accessibility for organizations, security-conscious multisig users, and people relying on account-abstraction recovery.

19.7 Governance outcomes

Members may approve ineffective, controversial, or fraudulent transfers. Fixed thresholds do not ensure wise decisions or fair geographic distribution.

19.8 Treasury depletion

Repeated proposals can spend treasury despite the 5% per-proposal cap. There is no cumulative budget period.

19.9 Recipient and legal risk

Recipients may lose keys, misuse funds, face sanctions, incur taxes, or be unable to distribute support. Jurisdictional treatment may change.

19.10 Infrastructure risk

Polygon congestion, RPC outage, site compromise, DNS loss, verifier hosting failure, and browser dependency changes can disrupt access even if contracts remain present.

19.11 Adoption risk

The protocol depends on people choosing to acquire LABR, verify, participate, evaluate proposals, and organize. Technical correctness does not create social legitimacy or adoption.

19.12 Equal-holder policy limitations

Equal dividends remove token-balance weighting from the holder distribution, but they do not eliminate all inequality. Participants differ in their ability to satisfy Human Passport, maintain a secure wallet, pay gas, acquire 1 LABR, monitor claims, and recover from device loss. Some people may control more than one independently qualified wallet. Others may share devices or credentials in ways that are difficult for the scorer to interpret.

The protocol should therefore state the enforceable rule precisely: one equal share per verified eligible wallet. It should not simplify that rule into an absolute claim of one share per natural person.

19.13 Identity-gated exit risk

Revision 7 intentionally requires permanent verification before official selling. This reduces the usefulness of transferring tokens among ordinary unverified wallets to evade per-wallet limits. It also

means an unverified recipient of LABR cannot redeem through the official reserve until verification succeeds.

The one-time model limits future dependence after verification, but the initial gate can still exclude a recipient during a Passport or verifier outage. The site, FAQ, transfer warnings, and whitepaper must disclose this clearly. Direct transfers should not be presented as equivalent to buying through the official Exchange.

19.14 Migration and continuity risk

A new immutable deployment does not automatically replace balances, registrations, proposals, treasury permissions, site caches, verifier configuration, or community expectations from the historical system. A migration can create parallel assets or conflicting sources of truth unless every state transition is documented.

This candidate intentionally does not invent a migration mechanism before it is reviewed. The final deployment plan must identify whether historical LABR remains transferable, whether any exchange inventory is moved, whether holders receive replacement tokens, how registrations are treated, and when old interface paths become inaccessible. A technically correct new stack can still fail operationally if the migration is ambiguous.

19.15 Social and institutional limits

LaborCoin can constrain how a treasury proposal is created, voted, and executed. It cannot determine whether a labor dispute is legitimate, whether a recipient fairly distributes assistance, whether a campaign reflects worker consent, or whether an organization remains accountable after receiving funds.

Those judgments remain social and political. The protocol provides transparent rules and auditable transfers, not an automated substitute for organizing, investigation, deliberation, or solidarity.

20. Governance Philosophy and Conclusion

LaborCoin attempts to encode a limited set of political-economic commitments:

- token wealth does not purchase more governance votes;
- token wealth does not purchase a larger holder-dividend share;
- each additional eligible wallet must independently pass the same identity gate;
- treasury authority is narrow and transparent;
- core economic constants are not adjustable after launch;
- deployment evidence is part of the protocol's public accountability.

The design does not claim to solve identity, governance, labor organization, or economic inequality in general. It creates a specific mechanism whose fairness depends on faithfully implementing and testing those commitments.

Revision 7 is ready for compilation review only when the source package, documentation, site, verifier, and compilation-record scaffold agree. It is ready for deployment only after the seven contracts compile exactly, all runtime commitments are sealed, the equal-holder accounting survives intensive tests, the Aragon permission migration is rehearsed, and independent review is complete.

Appendix A. Fixed Constants

Constant	Value
Network	Polygon mainnet, chain ID 137
LABR supply	1,000,000,000 LABR
Wallet maximum	10,000 LABR
Transaction maximum	5,000 LABR
Trade cooldown	12 hours
Minimum dividend balance	1 LABR
Passport threshold	15.000
Authorization maximum life	1 hour
Buy DAO share	10% of total input
Sell seller share	90% of gross redemption
Sell DAO share	5%
Sell dividend share	5%
Initial marginal price	14 POL per LABR
Maximum marginal price	210 POL per LABR
Initial tranche	100,000,000 LABR
Later tranche	50,000,000 LABR
Governance activation	50 members
Proposal duration	14 days
Execution window	7 days
Participation	ceiling 25%
Approval	ceiling 67% of votes cast
Proposal transfer cap	5% of current DAO POL balance
Description maximum	1,000 bytes

Appendix B. Address Registry

Revision 7

All seven replacement addresses are DEPLOYMENT_PENDING.

Existing infrastructure

Aragon DAO: 0x0C2e5679153593b82a84eAB5CA90895BB291Cec4

Planned verifier EOA: 0x475d519631d2406753aCA29F305f19b83E97513e

The verifier address must be reconfirmed before compilation and deployment.

Historical evidence

Historical LABR: 0x460DD873A1D2a41e77410B125cD3027C5FE2f78
Exchange V4: 0x4Cf18cB39203B678f5C26f2338a10a79f9684749
LaborVote V7: 0x833242E933c675846D8f8982048FecA95B8e435A
Registration V4: 0xd1CD6C0B6f1F709A52908B40C07D3C54649e323C
Governance V13: 0x8238105d31F6Bb26897d8Ab270a0A521FEF03E8c
Treasury Module V1: 0x0B018E45E4cB71E222C345a5341BdbaeE519c623

Appendix C. Runtime Commitment Status

Contract	Source status	Compilation status	Runtime hash
Identity Registry V1	Candidate	Pending	PENDING_COMPILATION
LABR V3	Candidate	Pending	PENDING_COMPILATION
Exchange V6	Candidate	Pending	PENDING_COMPILATION
LaborVote V9	Candidate	Pending	PENDING_COMPILATION
Registration V6	Candidate	Pending	PENDING_COMPILATION
Text Policy V1.0.1	Candidate source preserved	Must be re-recorded in Revision 7 manifest	PENDING_COMPILATION_RECORD
Governance V15	Candidate	Pending	PENDING_FINAL_IMMUTABLE_VALUES

Appendix D. Authority Matrix

Component	Owner at deployment	Final owner	Mutable economic setters	Pause	Upgrade	Recovery
Identity Registry	Temporary launch owner	Zero	None	No	No	No
LABR	Temporary launch owner	Zero	None	No	No	No
Exchange	None	None	None	No	No	No
LaborVote	Temporary launch owner	Zero	None	No	No	No
Registration	None	None	None	No	No	No
Text Policy	None	None	None	No	No	No
Governance	None	None	None	No	No	No

Appendix E. State Transitions

Identity

Unverified -> valid score authorization -> Verified permanently

Dividend eligibility

Verified + balance <1 -> verified transfer/buy reaches >=1 -> Eligible
 Eligible -> transfer/sell falls below 1 -> Ineligible with accrued claim preserved
 Ineligible -> balance reaches >=1 -> Eligible without missed history

Registration

Verified + >=1 LABR + not registered -> register -> one permanent LABRV

Proposal

Nonexistent -> Active -> Defeated
 \ -> Succeeded -> Executed
 \ -> Expired

Appendix F. Threat Model Matrix

Threat	Preventive control	Detection	Residual consequence
Wrong runtime	Exact codehash commitments	Deployment comparison	Launch abort
Verifier theft	Secret isolation and startup checks	Logs, unexpected verification events	Permanent unauthorized status
Duplicate wallet	Score threshold and deduplication	On-chain and scorer analysis	Multiple equal shares may remain possible
Dividend history theft	Entry/exit corrections	Invariant and differential tests	Permanent accounting loss if defect exists
Reserve underfunding	Integral accounting and checks	invariantsHold, fork tests	Sell failure or insolvency
Old DAO permission	Revocation checklist	Aragon permission enumeration	Obsolete executor remains active
Bad recipient	Member diligence and fixed proposal record	Public proposal and transfer	Irreversible fund loss
Site compromise	Fail-closed config and address display	Repository and deployment comparison	Users may sign malicious transactions

Appendix G. Glossary

Accounted reserve: POL recorded as liability for official curve redemptions.
Direct wallet: EOA with no code, calling without a relay.
Dividend unit: Binary accounting weight of one for each verified eligible holder.
Eligible holder: Verified non-protocol wallet holding at least 1 LABR.
Human Passport: External credential scoring system used by the fixed scorer.
LABR: Fixed-supply economic participation token.
LABRV: Nontransferable governance membership token.
Runtime code hash: Keccak-256 of deployed contract bytecode.
Scorer ID hash: Fixed hash identifying the configured Passport scorer.
Sybil behavior: One actor attempting to appear as multiple participants.
Treasury snapshot: DAO native-POL balance recorded at proposal creation.

Appendix H. Final Launch Checklist

- ☐ Seven sources frozen and hashed.
- ☐ All seven compile under exact profile with acceptable diagnostics.
- ☐ Creation and runtime records sealed.
- ☐ Equal-holder unit, fuzz, invariant, and differential tests pass.
- ☐ Exchange curve and reserve tests pass.
- ☐ Identity EIP-712 parity tests pass.
- ☐ Membership and governance tests pass.
- ☐ Polygon-fork deployment rehearsal passes.
- ☐ Governance deployed runtime reconstructed from immutables.
- ☐ Aragon new permission grant rehearsed.
- ☐ Obsolete permissions enumerated and revocation transactions prepared.
- ☐ Verifier key and scorer configuration independently checked.
- ☐ Site addresses, hashes, ABIs, and EIP-712 domain verified.
- ☐ Membership certificate remains US Letter and unchanged.
- ☐ Whitepaper PDF and browser print use US Letter.
- ☐ Independent security review completed.
- ☐ Final deployment and provenance record prepared.

Appendix I. References and Repository Records

The canonical implementation record is the public LaborCoin source repository together with the separate LaborCoin-Compilation-Records, site, and verifier repositories. Human Passport integration should be checked against the provider's official current documentation immediately before production deployment. Polygon and Aragon interactions should be checked against their official current documentation and actual deployed contracts.